04

INDIAN ECONOMY

The Economy section is one of the most important sections of the CDS examination. Around 8-10 questions are asked from this section every year. Topics from this section include Basic Economic concepts, Banking system, Share market, Inflation and Deflation, Foreign exchanges and reserves, Some important financial institutions, Important economic indices etc.

INTRODUCTION OF INDIAN ECONOMY

Indian economy is primarily an agricultural economy with major emphasis on service sector. Two-third of Indian people earn their living directly or indirectly through agriculture. Indian economy is the 7th largest economy in the world measured by nominal GDP and the 3rd largest by Purchasing Power Parity (PPP).

Main characteristics of Indian economy are as follows

i. **Agrarian Economy** In an Agrarian economy, agriculture dominates in both the Gross National Product (GNP) and employment. More than half of India's working population is engaged in agriculture.

ii. **Mixed Economy** It is an economy where both public and private sector co-exist. The nature of Indian economy is a mixed economy. The term was coined by **JM Keynes**. India opted for 'Mixed Economy' in the industrial policy of 1948.

iii. **Developing Economy** Following features shows that 'Indian economy is a developing economy'

- Low per capita income and occupational pattern is biased towards primary sector.
- Heavy population pressure and prevalence of chronic unemployment and under employment.
- Steadily improving rate of capital formation.
- Low capital per head and unequal distribution of wealth/assets.

Broad Sectors of Indian Economy

There are three sectors of Indian economy, which are as follows

i. **Primary Sector** It is directly related to the extraction or utilisation of natural resources. Agriculture, mining, fishing, quarrying, dairy sector and many other such functions come under the primary sector.

ii. **Secondary Sector** It utilises the end product of the primary sector, to manufacture finished goods, through the refinement and processing of the primary products. Construction, manufacturing, electricity, gas and water supply come under the secondary sector.

iii. **Tertiary Sector** Tertiary sector generally provides services, instead of goods to other sector. It is also called as service sector. Business, transport, telecommunication, banking, insurance, real estate, community and personal services come under the tertiary sector.

Other Sector of Economy

Quaternary Sector This sector consists of the intellectual and knowledge based abilities. Research and development, culture, information technology, consulting, financial planning, education etc come under the quaternary sector.

Quinary Sector This sector includes highest level of decision-making. It includes top officials of government, media, universities etc.

SOCIAL AND ECONOMIC DEVELOPMENT INDEX

Various economists have proposed different methods to measure economic growth and development. One of the important method is Human Development Index.

Human Development Index (HDI)

- The United Nations Development Programme (UNDP) introduced the HDI in its first Human Development Report (HDR), prepared under the stewardship of **Mahbub-ul-Haq** in 1990.
- HDR, 1990 defined human development as the process of widening people's choices as well as raising the level of well-being achieved.

Indicators of HDI

Three main indicators of HDI are as follows

i. **Life Expectancy Index** (LEI) Infant mortality is not considered as a separate indicator in this index. Thus, life expectancy refers to life expectancy at birth, not at age one.

ii. **Education Index** (EI) This index is measured by mean of years of schooling for adults aged 25 years and above and expected years of schooling for children of school entering age.

iii. **Income Index** (II) The standard of living dimension of human development index is measured by gross national income per capita. The index uses the logarithm of income, to reflect the diminishing importance of income with increasing GNI.

Human Development Report, 2015

In 2015 HDR, Norway, Australia and Switzerland are placed at top three positions. India ranked at 130th position with value of 0.609 score in the medium human development category.

NATIONAL INCOME OF INDIA

- National Income (NI) is the net value of all the final goods and services produced by its nationals during a financial year. It is a flow concept. In India, the financial year is from **1st April to 31st March.** The national income is calculated annually.
- According to National Income Committee (1949), "A national income estimate measures the volume of commodities and service turned out during a given period counted without duplication".
- NI = C + G + I + (X –M) + (R – P) – Depreciation – Indirect tax + Subsidies.

Where, C = Total Consumption Expenditure
G = Total Government Expenditure
I = Total Investment Expenditure
X = Export
M = Import
(R-P) = Net Factor Income from Abroad
∴ R ⇒ Received, P ⇒ Payment

Methods of Measuring National Income

There are three types of methods, which are as follows

i. **Product Method** In this method, net value of final goods and services produced in a country during a year is obtained, which is called Total Final Product. This represents Gross Domestic Product (GDP).

ii. **Income Method** In this method, a total of net income earned by working people in different sectors and commercial enterprises is obtained.

iii. **Consumption Method** It is also called expenditure method. Income is either spent on consumption or saved. Hence, national income is the addition of total consumption and total savings. In India, a combination of production method and income method is used for estimating national income.

Estimates of National Income in India

- In 1868, the first attempt was made by **Dadabhai Naoroji** in his book 'Poverty and Un-British Rule in India'. He estimated the per capita annual income to be ₹ 20.
- The first scientific attempt to measure national income in India was made by **Professor VKRV Rao** in 1931-32. He divided the Indian economy into 13 sectors.
- In 1949, National Income Committee under the Chairmanship of **Professor PC Mahalanobis** was constituted. The other members were Professor VKRV Rao and Professor DR Gadgil.

PLANNING IN INDIA

Economic planning refers to the path of actions in terms of policy measures to be followed in future, in pursuance of pre-determined objectives.

History of Planning in India

- The first attempt to initiate economic planning in India was made by **Sir M Visvesvaraya**, a noted engineer and politician, in 1934 through his book, 'Planned Economy for India'.
- In 1938, **National Planning Commission** was set-up under the Chairmanship of **Jawaharlal Nehru** by the Indian National Congress.
- Its recommendation could not be implemented because of the beginning of the World War II and changes in the Indian political situation. In 1944, Bombay Plan was presented by eight leading industrialists of Bombay.
- Gandhian Plan was given by Shriman Narayan Agarwal in this year. In 1945, People's Plan was given by MN Roy and in 1950, Sarvodaya Plan was given by Jai Prakash Narayan. A few points of this plan were accepted by the government.

National Development Council

All the plans made by the Planning Commission was to be approved by National Development Council (NDC) first. It was constituted to build cooperation between the states and the Planning Commission for economic planning. It is an extra-constitutional and extra-legal body.

Planning Commission

- The Planning Commission was set-up on 15th March, 1950 under the Chairmanship of Pt Jawaharlal Nehru. It was to formulate plans for the economic development of the country on the basis of the available physical, capital and human resources.
- It was a non-statutory and non-constitutional advisory body. On 1st January, 2015, Government of India established NITI Aayog (National Institution for Transforming India Aayog) to replace planning commission.

NITI Aayog

- NITI Aayog or **National Institution for Transforming India Aayog** came into existence on 1st January, 2015. A policy-making think-tank of government that replaces Planning Commission and aims to involve states in economic policy-making.
- It will provide strategic and technical advice to the central and the state governments.

Structure under NITI Aayog

- NITI Aayog will be headed by the Prime Minister and will have a **Governing Council**, comprising Chief Ministers of States and Heads of all the Union Territories. The Government Council replaces the earlier National Development Council (NDC).
- In addition, there will also be a **Regional Council** comprising of Chief Ministers and Lieutenant Governors of Union Territories, which will be mandated to develop plans that are region specific.
- The Aayog will have 7-8 full time members and two well-known and accomplished part-time members, drawn from leading research organisations and major universities.
- Four Union Ministers, nominated by the Prime Minister, will also be included in ex-officio capacity.

Difference Between NITI Aayog and Planning Commission

Parameter	*NITI Aayog*	*Planning Commission*
Financial Clout	To be an advisory body, or a think-tank. The powers to allocate funds might be vested in the Finance Ministry.	Enjoyed the powers to allocated funds to Ministries and State Governments.
Full-time Members	The number of full-time members could be fewer than Planning Commission.	The last commission had eight full-time members.
States Role	State governments are expected to play a more significant role.	States role was limited to the National Development Council and annual interaction during plan meetings.
Member Secretary	To be known as the CEO and to be appointed by the Prime Minister.	Secretaries or Member Secretaries were appointment through the usual process.
Part-time Members	To have a number of part-time members, depending on the need from time-to-time.	Full Planning Commission had no provision for part-time members.

FIVE YEAR PLANS

First Five Year Plan (1951-56)

- This was based on Harrod Domar model. Highest priority accorded to agriculture in view of large import of foodgrains and inflation.
- Target growth 2.1% and achieved 3.6%.
- Many irrigation project were initiated including the Bhakra, Hirakud and Damodar Valley dams.

Second Five Year Plan (1956-61)

- Rapid industrialisation with particular emphasis on the development of basic and heavy industry, also called Nehru Mahalanobis Plan.
- To increase the rate of investment from 7% to 11% of GDP. Atomic Energy Commission came into being and TIFR was set-up.
- Targeted growth rate was 4.5% but achieved 4.1%.
- Durgapur (UK), Bhilai (USSR) and Rourkela (Germany) steel plant was set-up with foreign help.

Third Five Year Plan (1961-66)

- This is also known as Gadgil Yojana. The basic goal was to make India a self-reliant and self-generation economy.

- To increase the national income by 30% and per-capita income by 17%. Targeted growth 5.6%, achieved growth 2.8%.
- The situation created by Indo-Pakistan conflict (1965), two successive years of severe drought, devaluation of currency by 57%, general rise in prices and erosion of resources caused delay in subsequent plan.

Annual Plan (1966-69)

- Due to unfortunate failure of the Third Plan, the production in various sectors of the economy became stagnant.
- In 1966, the Government of India declared the devaluation of rupee with a view to increase the exports of the country.
- Fourth Plan was postponed and three Annual Plan were implemented. Some of the economists called this period (1966 to 1969) as plan holiday.

Fourth Five Year Plan (1969-74)

- Objective was growth with stability and progressive achievement of self-reliance. Targeted growth 5.7% however, achieved growth 3.3%.
- First 2 years of the plan were successful with record foodgrain production on account of Green Revolution.
- Also known as Ashok Rudrah Manne Model.

Fifth Five Year Plan (1974-1979)

- Original approach to plan was prepared by C Subramaniam, who proposed economic growth alongwith direct attack on poverty. Target growth 4.4% and achieved growth 4.8%.
- The Twenty-Point Programme was launched in 1975.

Rolling Plan (1979-80)

- Rolling plan (Gunnar Myrdal) was brought out by Janata Party Government under Morarji Desai in 1978.
- The focus of the plan was enlargement of the employment potential in agriculture and allied activities to raise the income of the lowest income classes.

Sixth Five Year Plan (1980-85)

- The emphasis was laid on greater management, efficiency and monitoring of various schemes. Targeted growth 5.2%, achieved growth 5.4%.
- Indian economy made on all round progress and most of the targets fixed by the plan was achieved.

Seventh Five Year Plan (1985-1990)

- It saw the beginning of liberalisation of Indian economy.
- Average annual growth rate was 6.0% as against the targeted 5.0%.

Annual Plan (1990-92)

- The Eighth Plan could not take off due to fast changing political situations at the centre. Therefore, in 1990-1991 and 1991-1992 two Annual Plans were formulated.

Eighth Five Year Plan (1992-1997)

- To provide a new dynamism to the economy and improve the quality of life of the common man.
- Also called as Rao and Manmohan Singh Model of economic development.
- Higher economic growth rate of 6.68% achieved as against the targeted 5.6%.

Ninth Five Year Plan (1997-2002)

- Emphasis on seven basic minimum services which included safe drinking water, universalisation of primary education, streamining PDS among others.
- Growth rate of 5.4 achieved as against targeted 6.5%.
- Empowerment of women, SC/STs/OBCs was initiated.

Tenth Five Year Plan (2002-2007)

- It aimed at increasing domestic saving rate from 23.52%. to 29.4%. Target growth of 8.1% achieved was 7.7%.
- Reduction in gender gap in literacy and wage rates by atleast 50%.

Eleventh Five Year Plan (2007-2012)

- Sex ratio for age group of 0-6 years to be raised to 9.35 by 2011-12 and to 9.50 by 2016-17. Targeted growth rate was 8.1% and achieved 7.9%.
- As against the target of 4% growth in the agricultural sector only 3.1 was achieved.

Twelfth Five Year Plan (2012-17)

- This plan is based on the theme "faster, sustainable and more inclusive growth".
- The paper indicates 14 key areas to be focussed by the Twelfth Five Year Plan. Some of these are energy, transport, natural resources, rural transformation, health, transport, education and skill development.

Key Targets

There are twelve key targets of Twelfth Five Year Plan, which are as follows

i. Real GDP growth rate-8% (down from earlier 8.2%).
ii. Agricultural growth rate-4%.
iii. Manufacturing growth rate-10%.
iv. Consumption poverty to be reduced by 10%.
v. Employment 50 million new work opportunities in the non-farm sector.
vi. Mean years of schooling-Increase it to 7 years by 2017.
vii. Infant Mortality Rate (IMR)-Reduce to 25 per 1000 live births.
viii. Maternal Mortality Rate (MMR)-Reduce to 1 per 1000 live births.
ix. Child (0-6) sex ratio-Raise it to 950 by 2017.
x. Total fertility rate-Reduce it to 2.1.
xi. Gross irrigated area-Increase it from 90 million hectare to 103 million hectare by 2017.
xii. Renewable energy capacity-Add 30000 MW of new power capacity.

> **15 YEARS' VISION DOCUMENT**
>
> The first 15 years vision document will come into effect from 2017-18 after the end of the Twelfth Five Year Plan. It will be formulated with central objective of eradication of poverty. It will come alongwith 7 years National Development Agenda which will lay down the programmes, schemes and strategies to achieve a long-term vision. The long vision document (perspective plan) will comprise of 3 years macro economic framework.

POVERTY

- When a person is unable to fulfil his basic needs of food, clothing and shelter, he is said to be living in poverty.
- The Millennium Development Goals (MDGs) have driven the most successful anti-poverty movement in history and brought more than a billion people out of extreme poverty, but their achievements have been mixed and the world remains deeply driven by inequality, the United Nation's (UN's) final report on the goals has concluded.
- The world has reduced the number of people living on less than $ 1.25 a day from 1.9 billion in 1990 to 836 million in 2015.
- World Bank raised the international poverty line to $ 1.90 per day from the existing $ 1.25 in October, 2015.

Types of Poverty

The poverty has two aspects, which are as follows

i. **Absolute Poverty** Low level of income, which is not sufficient to fulfil required basic minimum needs.

ii. **Relative Poverty** It refers to poverty on the basis of comparison of per capita income of different countries.

Measurement of Poverty

A common method used to measure poverty is based on the **income or consumption level.** Generally, an average calorie intake of 2400 calorie for rural person and 2100 calorie for urban person is taken as a determining value.

Poverty Estimation by Committees in India

Various economists and organisations have studied on the extent of poverty in India. *Some of them are as follows*

i. **Lakdawala Committee** In September, 1989, the Planning Commission constituted an Expert Group to consider methodological and computational aspects of estimation of proportion and number of poor in India. The Chairman of the Expert Group was Professor DT Lakdawala.

ii. **Tendulkar Committee Report** Tendulkar Committee submitted its report in December, 2009, to the Planning Commission. In its findings, this committee has moved away from just calorie criterion definition to a broader definition of poverty that also includes expenditure on health, education, clothing in addition to food. The updated poverty estimates of the Tendulkar Committee have lowered the poverty line from ₹ 32 a day to ₹ 28.

iii. **SR Hashim Committee** The Planning Commission had constituted an expert group under the Chairmanship of SR Hashim on 13th May, 2010, to recommend detailed methodology for identification of BPL families in urban areas in the context of the Twelfth Five Year Plan. The panel has suggested that the government should use three-stage approach– automatic exclusion, automatic inclusion and scoring index to identify urban poor.

iv. **Rangarajan Report on Poverty** The Expert Group under the Chairmanship of Dr C Rangarajan has submitted its report on 30th June, 2014. The report retained consumption expenditure estimates of NSSO as the basis for determining poverty. On the basis of this, it pegged the total number of poor in India at 363 million or 29.6% of the population which is higher than the report of Suresh Tendulkar Committee.

State of Poverty

(World Bank Report)

World Bank on 18th April, 2013, in its report entitled 'Where are the Poor and Most Poor', observed that

- One-third of the global poor are in India and the poor in India live on less than US$ 1.25 a day. There are around 120 crore extremely poor persons in the world today. Between 1981-2010, the developing countries have witnessed a decline in poverty rate from 50% to 21%.
- Despite development in Africa, poverty is still widespread.

UNEMPLOYMENT

According to National Sample Survey Organisation (NSSO), a person who, owing to lack of work, had not worked, but either sought work through employment exchanges, intermediaries, friends or relatives or by making applications to prospective employers or expressed his willingness or availability for work under the prevailing conditions of work and remuneration, is considered as those seeking or available for work (or unemployed).

Types of Unemployment

Generally, unemployment can be classified into two types, which are as follows

1. Voluntary Unemployment

This type of unemployment is on account of persons not interested to take the employment i.e. jobs are available, but the persons are not interested in being employed.